

UNIT – 4: TAXES, TAX PLANNING & DISPUTE RESOLUTION

Capital Gains Tax — Short-Term vs. Long-Term:

When an individual sells a capital asset (such as shares, property, gold, or mutual funds) at a price higher than its purchase cost, the profit earned is known as **Capital Gain**. Capital gains are divided into:

- **Short-Term Capital Gain (STCG)**
- **Long-Term Capital Gain (LTCG)**

1. Short-Term Capital Gain (STCG): STCG arises when a capital asset is sold before completing the minimum holding period required to qualify as long-term. Since these assets are held for a short period, gains are considered speculative or trading-oriented.

Tax Treatment:

- STCG (equity-oriented) has flat tax @ **15%** irrespective of income slab.
- Other STCG is added to total income and taxed as per slab.

Advantages + Drawbacks:

- **Pros:** Useful for quick profit booking, short-term liquidity.
- **Cons:** Higher tax rates, no indexation benefits.

Example:

Bought shares: ₹1,00,000 → Sold in 6 months at ₹1,40,000

STCG = ₹40,000 → Tax @15% = ₹6,000

2. Long-Term Capital Gain (LTCG): LTCG arises when an asset is held beyond a prescribed holding period, indicating long-term wealth creation rather than short-term speculation.

Indexation Benefit: Indexation adjusts the purchase cost using inflation (CII index), reducing taxable gains.

Formula: Indexed Cost = Purchase Cost × (CII of Sale Year / CII of Purchase Year)

Advantages + Drawbacks:

- **Pros:** Lower tax, indexation benefit, promotes long-term investment.
- **Cons:** Lock-in period may reduce liquidity; markets fluctuate in long term.

Example (Real Estate with Indexation):

Particulars	Amount
Purchase Price (2018)	₹40,00,000
Sale Price (2024)	₹70,00,000
Indexed Cost ≈	₹52,00,000

LTCG = 70 – 52	₹18,00,000
Tax = 20%	₹3,60,000

Key Differences (Exam Table)

Basis	STCG	LTCG
Investment Horizon	Short duration	Long duration
Tax Rate	Higher (Slab or 15%)	Lower (10%/20%)
Benefits	No indexation	Indexation available
Purpose	Trading, speculation	Wealth creation, retirement
Risk Level	High & volatile	Lower over long term

Asset Classification Based on Type

Asset Type	Short-Term Holding	Long-Term Holding
Equity & Equity Mutual Funds	< 12 months	≥ 12 months
Real Estate	< 24 months	≥ 24 months
Gold, Debt Funds, Bonds	< 36 months	≥ 36 months

Personal Tax Planning

Financial planning is not just about earning and investing—it also involves managing taxes efficiently. Personal tax planning refers to legally arranging finances to minimize tax liabilities while ensuring compliance with tax laws.

What is Personal Tax Planning?

Personal Tax Planning is the legal process of organizing income, investments, and expenses to reduce overall tax liability using available deductions, exemptions, and tax-efficient instruments. It ensures maximum savings while staying compliant with tax laws.

Objectives:

- Minimize tax burden legally
- Increase post-tax income
- Plan long-term finances (retirement, insurance, education)
- Optimize investment allocation according to tax benefits

Key Tools for Personal Tax Planning

Category	Common Instruments	Benefits
Deductions under Chapter VI-A	PPF, ELSS, Life Insurance, NPS, SSY	Reduce taxable income
Exempt Income	PPF Interest, LTCG limit up to ₹1 lakh	Reduces tax payable
Tax-efficient investments	Mutual Funds (LTCG), NPS, ULIP	Better returns after tax
Health & Family Protection	Section 80D – Medical Insurance	Tax + health safety

Section 80C (Old Regime): Section 80C allows individuals and HUFs to claim deductions up to **₹1.5 lakhs** per financial year by investing in specified schemes.

Eligible Investments Under Section 80C

Investment	Purpose	Lock-in	Risk Level
ELSS	Equity-based tax mutual funds	3 yrs	High
PPF	Govt. savings scheme	15 yrs	Low
NSC	Govt. fixed income	5 yrs	Low
Tax-Saving FD	Bank fixed deposit	5 yrs	Low
ULIP	Insurance + investment	5 yrs	Medium
SSY	Girl child savings	21 yrs	Low
EPF/VPF	Retirement savings	Till retirement	Low

Additional Deductions under NPS (Beyond 80C)

Section	Who Can Claim?	Deduction Limit	Notes
80CCD(1)	Individual contribution	Included in ₹1.5 lakh ceiling	Salary % rules apply
80CCD(1B)	Individual contribution	Extra ₹50,000	Over and above 80C

80CCD(2)	Employer's contribution	Govt: 14%	Not counted in 80C limit
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Total possible deduction using NPS = ₹2 lakh or more

Old vs New Tax Regime — Tax Planning Angle

Basis	Old Regime	New Regime
Deductions (80C, 80D, etc.)	Available	Not available
Tax Rates	Higher	Lower
Suitable For	People with many deductions	People without major deductions

Profit & Loss Harvesting

Tax harvesting refers to strategically selling investments to manage capital gains tax liability. It can be done in two ways: **tax-loss harvesting** and **tax-gain harvesting**, depending on the market and the investor's taxable income situation.

Tax-Loss Harvesting (TLH):

Tax-loss harvesting is a tax-saving strategy where an investor sells investments that have declined in value to *realize a capital loss*, which is then used to offset taxable capital gains. This reduces the total tax payable and improves post-tax returns.

How It Works (Steps):

- 1. Identify Loss-Making Assets:** Review portfolio holdings to find investments trading below purchase price.
- 2. Sell the Asset to Realize Loss:** Selling converts the loss from "unrealized" to "realized" for tax purposes.
- 3. Use Loss to Offset Capital Gains:** The realized losses are subtracted from gains in the same financial year.
- 4. Reinvest Proceeds:** Funds can be reinvested in similar assets (not the same asset immediately, to avoid regulatory or tax issues like wash-sale rules).

Rules for Set-Off

Type of Loss	Can Be Set Off Against	Cannot Be Set Off Against
Short-Term Loss	STCG + LTCG	—
Long-Term Loss	Only LTCG	Cannot offset STCG

Carry-Forward of Losses

- Unused capital losses can be carried forward for **up to 8 assessment years**
- Can be set off only if losses were reported in the Income Tax Return (ITR) on time

Example:

Particulars	Amount
Short-Term Capital Gain (Equity)	₹6,00,000
Long-Term Capital Gain	₹15,00,000
Realized Short-Term Capital Loss	₹2,00,000

→ After harvesting, taxable STCG reduces to: **₹6,00,000 – ₹2,00,000 = ₹4,00,000**

- ◆ Result: **Tax liability reduced by approx. ₹40,000**
- ◆ Benefit: Less tax payable + portfolio cleanup

Benefits of Tax-Loss Harvesting:

- Reduces overall tax liability
- Improves long-term returns by minimizing tax drag
- Helps rebalance portfolio by exiting poor assets

Tax-Gain Harvesting (TGH):

Tax-gain harvesting is a tax-planning strategy where an investor intentionally sells investments that have appreciated in value to *realize capital gains* during years where tax liability is low or exempt. This helps reduce future tax burden by resetting the cost price to a higher level while paying little to no tax in the current year.

How It Works (Steps):

1. **Identify Low-Tax Years:** Suitable when income falls below taxable limits or gains fall under exempt thresholds.
2. **Sell Appreciated Assets to Realize Gains:** Converts unrealized gains into realized gains that can be taxed in the current low-tax period.
3. **Repurchase the Same or Similar Asset:** Re-enter position with a higher cost basis to reduce future capital gains tax.
4. **Benefit from Higher Cost Price:** Reduces long-term tax payable when selling the asset at higher values later.

Example:

Particulars	Amount
Current Unrealized LTCG	₹1,20,000

LTCG Exempt Limit	₹1,00,000
Gain Realized Under Limit	₹1,00,000

→ Investor books ₹1,00,000 tax-free gain and repurchases the asset.

- ◆ **Result:** Cost price resets higher
- ◆ **Future Benefit:** Lower LTCG when selling again because purchase cost is updated

Benefits of Tax-Gain Harvesting:

- Reduces future tax liability by resetting cost basis
- Ideal for years with no income or low tax slabs
- Useful for tax-free LTCG up to ₹1 lakh per year
- Supports long-term compounding without tax drag

Retirement Benefit Schemes: NPS Tier-I and Tier-II

What is NPS?

The **National Pension System (NPS)** is a government-backed retirement savings scheme designed to help individuals build a long-term pension corpus. It allows systematic savings during working years and provides a combination of **lump-sum withdrawal + monthly annuity** after retirement.

- Regulated by **PFRDA (Pension Fund Regulatory & Development Authority)**
- Open to all Indian citizens aged **18–70 years**
- Offers **market-linked returns** by investing in equity, corporate bonds, government securities, and alternative assets.

Account Structure of NPS

Subscribers are allotted a **Permanent Retirement Account Number (PRAN)**, which lets them access two types of accounts:

NPS Tier-I Account (Primary Retirement Account)

Feature	Details
Purpose	Mandatory retirement savings account
Withdrawals	Restricted; only partial withdrawals allowed under specific conditions
Tax Benefits	Eligible for tax deductions under 80CCD(1) , 80CCD(1B) , and employer contributions
Lock-in Period	Locked until age 60 (retirement)

Exit Rules	Up to 60% withdrawal tax-free , remaining 40% used to purchase annuity
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✓ Best for **long-term retirement planning**

✓ Lower fund management fees compared to mutual funds & ULIPs

NPS Tier-II Account (Flexible Savings Account)

Feature	Details
Purpose	Voluntary savings for liquidity and short-term goals
Withdrawals	Free withdrawals anytime; no minimum lock-in (except 3 years for govt employees claiming tax benefit)
Tax Benefits	No tax deduction (except Govt employees under 80C conditions)
Investment Options	Same funds as Tier-I (Equity, Corporate Bonds, Govt Securities)
Who Can Open?	Only with an active Tier-I account

✓ Works like a **low-cost mutual fund alternative**

✗ Not ideal purely for tax savings

Investment Options in NPS

Subscribers can choose how their contributions are invested:

Option	Risk & Return	Asset Types
E — Equity	High risk, high return	Stock market-linked investments
C — Corporate Bonds	Moderate risk, stable return	Corporate debt funds
G — Government Securities	Low risk, low return	G-Secs, treasury securities
A — Alternative Assets	High risk, high return	REITs, INVITs, CMBS, AIFs (<i>Tier-I only</i>)

Modes:

- **Active Choice** → subscriber selects allocation
- **Auto Choice** → age-based allocation reducing equity over time

Tax Benefits Under NPS

Section	Who Can Claim?	Limit	Applies To
80CCD(1)	Individual contribution	Up to ₹1.5L (within 80C limit)	Salaried (10% of salary), Self-employed (20% of income)
80CCD(1B)	Individual	Extra ₹50,000 deduction	Additional personal contribution
80CCD(2)	Employer's contribution	10–14% of Salary	Deduction over 80C limit

◆ **Total maximum deduction possible = up to ₹2,00,000+** (based on structure)

◆ **Section 80CCD(1B) — Additional Deduction for NPS**

- Extra tax benefit exclusively for personal contributions to NPS.
- **Limit:** Additional **₹50,000** over and above 80C.
- Available to **both salaried and self-employed individuals**.

Grievance Redressal Mechanisms in Financial Sectors

Grievance redressal mechanisms ensure that customers and investors can resolve disputes related to financial services. Different sectors have dedicated regulatory bodies and formal processes to address complaints fairly and transparently.

1. Grievance Redressal in Securities Market (SEBI)

SCORES – SEBI Complaints Redress System

SCORES (SEBI Complaints Redress System) is an online platform where investors can lodge complaints related to listed companies, stock brokers, mutual funds, depositories, and other SEBI-registered intermediaries.

Purpose:

- Ensures timely redressal of investor complaints
- Provides a transparent, trackable mechanism



Process:

1. First contact the company/intermediary directly.
2. If unresolved, file complaint on <http://scores.gov.in> or via **SCORES Mobile App**.
3. SEBI forwards the complaint to the concerned entity for action.
4. The entity must reply and submit an Action Taken Report to SEBI.

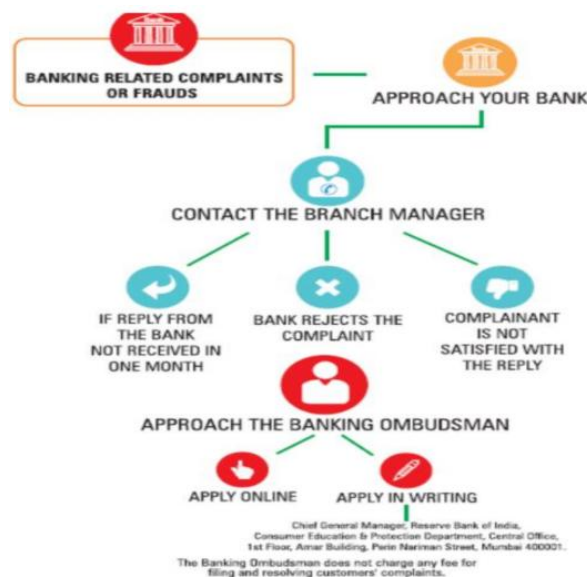
Time Limit to File: Within **3 years of the issue**.

2. Grievance Redressal – Banking Sector (RBI)

Banks handle essential financial services, and disputes may arise due to issues such as unauthorized charges, failed digital transactions (NEFT/RTGS/UPI), ATM cash disputes, loan miscommunication, service delays, or fraud. The Reserve Bank of India (RBI) provides a structured mechanism to ensure fair resolution of such complaints.

Steps to File a Complaint

1. **Approach the Bank First:** Register the complaint at the branch, customer care, or bank's grievance portal.
2. **Escalate Within the Bank:** If unresolved or no response within **30 days**, escalate to the Branch Manager or higher officers.
3. **Approach the Banking Ombudsman (RBI):** If still unresolved, file a complaint under RBI's **Integrated Ombudsman Scheme**.



What the Ombudsman Does

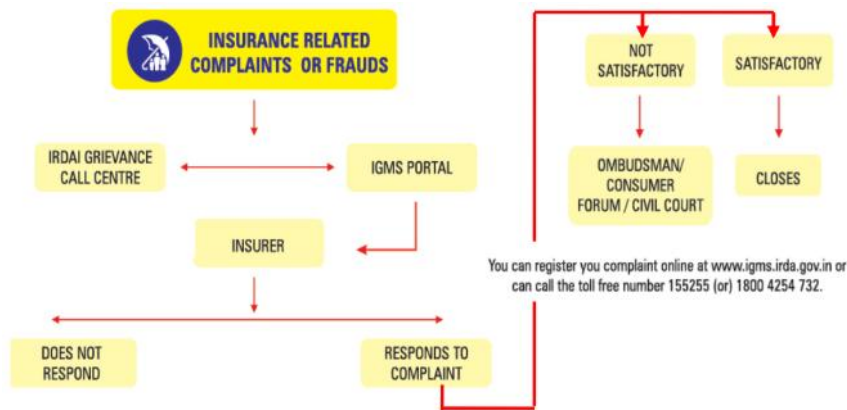
- Examines the complaint and contacts the bank
- Issues a decision/relief (refund, correction of records, compensation, etc.)
- Decision is binding on the bank

3. Grievance Redressal – Insurance Sector (IRDAI)

Insurance grievances may relate to issues such as **claim rejection or delay**, incorrect premium charges, mis-selling by agents, policy lapses, or improper service.

Steps to Raise a Complaint

1. **Approach the Insurance Company First:** File a complaint through customer care, branch office, or email. The insurer must acknowledge and respond within a specified time.
2. **Escalate to IRDAI:** If unresolved or no response, file the complaint with IRDAI through:
 - **IGMS Portal:** www.igms.irda.gov.in
 - **IRDAI Grievance Call Centre (IGCC)**
3. **Approach Insurance Ombudsman:** If still unsatisfied, the case can be escalated to the **Insurance Ombudsman** or **Consumer Court** for dispute resolution.



Support Channels:

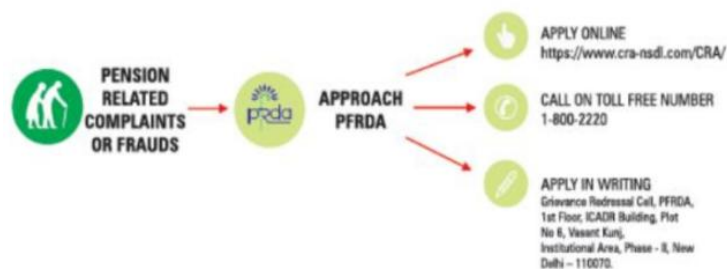
- **Toll-free numbers:** 155255 / 1800-4254-732
- **IGMS portal** for tracking status
- Email or physical submission accepted

Possible Outcomes:

- Insurer resolves issue (refund, claim approval, correction)
- If unresolved → decision by Ombudsman (binding on insurer)

4. Grievance Redressal – Pension Sector (PFRDA)

This applies mainly to complaints related to **NPS accounts**, including issues with contributions, PRAN generation, fund manager performance, withdrawal delays, or annuity problems.



Steps to Raise a Complaint:

1. **File Complaint with CRA (Central Recordkeeping Agency):** Submit grievance through the NPS service portal: <https://www.cra-nsdl.com/CRA/>
2. **Escalate to PFRDA:** If the issue is unresolved within the given timeframe, escalate to **PFRDA** directly for regulatory intervention.

Complaint Channels: Online portal, Written complaint, Toll-free helpline: 1800-222-990.

Possible Outcomes:

- Issue resolved by CRA or PFRDA
 - If unresolved, complaint can be taken to Ombudsman / consumer forum depending on nature of dispute
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E-Filing Basics and Tax-Saving Instruments: NSC, PPF, Post Office Schemes, ELSS

1. E-Filing of Income Tax Returns: E-filing refers to the process of submitting Income Tax Returns (ITR) electronically through the official government portal rather than manually filing physical forms.

Steps in E-Filing:

1. Register or log in on the official portal: www.incometax.gov.in
2. Choose the applicable ITR form based on income type.
3. Enter income details, deductions, tax liability, and bank information.
4. Upload necessary documents or auto-fetch Form 16, AIS, and Form 26AS.
5. Submit the return and verify using Aadhaar OTP, net banking, DSC, or EVC.

Benefits of E-Filing:

- Faster processing and refunds
 - Paperless and secure filing
 - Auto-verification of financial data
 - Convenient tracking and correction of returns
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2. National Savings Certificate (NSC): NSC is a fixed-income savings scheme offered by post offices to encourage small savings and secure investment. **Key Features:**

- **Lock-in period:** 5 years
- **Interest:** ~7–8% per annum, compounded annually
- **Risk:** Low (Government-backed)
- **Tax Benefit:** Principal qualifies under **Section 80C**, and reinvested interest (except last year) is also eligible.

Suitable For: Conservative investors seeking safe, fixed returns and tax benefits.

3. Public Provident Fund (PPF): PPF is a long-term investment scheme designed to encourage retirement savings with guaranteed returns.

Key Features:

- **Tenure:** 15 years (extendable in blocks of 5 years)
- **Interest Rate:** ~7–8%, reset quarterly
- **Risk:** Extremely low (sovereign guarantee)
- **Tax Treatment: EEE (Exempt–Exempt–Exempt)**
→ No tax on investment, interest, or maturity amount

Suitable For: Long-term wealth building, retirement planning, and safe compounding.

4. Post Office Savings Schemes: India Post offers multiple saving schemes targeted at different financial needs. These provide assured returns and are regulated by the Government of India.

Examples & Purpose:

Scheme	Purpose	Lock-in	Risk	Tax Benefit
Senior Citizen Savings Scheme (SCSS)	Income for retirees	5 yrs	Low	80C (subject to rules)
Monthly Income Scheme (MIS)	Steady monthly income	5 yrs	Low	No 80C
Recurring Deposit (RD)	Small monthly savings	5 yrs	Low	No 80C
Time Deposit (TD)	Fixed deposit	1–5 yrs	Low	Only 5-yr TD eligible under 80C

5. Equity Linked Savings Scheme (ELSS): ELSS is a category of mutual funds that invest primarily in equity while offering tax benefits under Section 80C.

Key Features:

- **Lock-in:** 3 years (shortest among 80C options)
- **Returns:** High (market-linked; potential 10–15%+ long term)
- **Risk:** High (depends on market performance)
- **Tax Benefit:** Eligible under Section 80C up to ₹1.5 lakh per year

Suitable For: Young investors aiming for long-term wealth creation and tax savings.